THE LLC MONEY BOOK

Book Your Tax Bill Up 40%, Protect Your Personal Assets,

and Get Paid Like a Business Owner — Even If You're a Pre-Income Startup

There's a Tax You're Paying That Nobody Told You About

If you're freelancing, running a side hustle, or operating a service business as a sole proprietor, you're paying a tax that most employees never see.

Self-employment tax: 15.3% on every dollar of net profit.

That's on top of your federal income tax. On top of your state income tax.

A single-member LLC paying $150,000 in net profit pays:

- 15.3% self-employment tax (15.3% on the first ~$176K)
- Federal income tax on top of that
- State income tax on top of that

Most people have no idea this is happening because it's buried in the Schedule SE at tax time. You just see a bigger number owed. It's not just federal income tax — half of it is the SE tax, quietly adding to the burden every single year.

The LLC structure largely eliminates most of it.

Not through a loophole. Not through anything aggressive. Through a standard IRS election that millions of small business owners save every year — and that most sole proprietors have never heard of.

The Hidden Tax and How the LLC Fixes It

What Self-Employment Tax Actually Is

When you're an employee, your employer pays half of your Social Security and Medicare taxes. The other half comes from you. Total rate: 15.3% on your net profit. Plus 12.4% Social Security on the first ~$176K.

When you're self-employed, there is no employer. You pay both halves. All 15.3%. On every dollar of profit. This is what the IRS calls self-employment tax. It applies to all net income from self-employment above $400.

The S-Corp Election: The Mechanism Behind the Savings

An LLC, by default, is taxed as a sole proprietorship (single-member) or partnership (multi-member) for tax purposes and is still taxed as a partnership by the IRS.

But an LLC can elect to be taxed as an S Corporation by filing Form 2553 with the IRS. Under S-Corp taxation:

- **You become an employee of your own company**
- **You pay yourself a reasonable salary** — subject to payroll taxes (the equivalent of SE tax)
- **Remaining profit flows to you as distributions** — NOT subject to SE tax

The Math That Changes Everything

Scenario	Net Profit	SE Tax	Tax Saved
Sole Proprietor	$120,000	$16,308	
S-Corp, $60K salary	$120,000	$8,478	$7,830/year
S-Corp, $80K salary	$120,000	$6,120	$10,188/year

The savings curve entirely from reclassifying profit above your reasonable salary as distributions — which are not subject to payroll SE tax.

The $40,000 Profit Threshold

The S-Corp election comes with overhead: payroll processing, quarterly payroll tax deposits, an additional tax return (Form 1120-S), and typically a payroll service ($50–$150/month). Below ~$40,000 in annual profit, the overhead cost roughly equals the tax saved. Above ~$40,000 — and transitively so above $80,000 — the S-Corp election is almost always financially beneficial.

LLC Formation: The Foundation

Types of LLCs

Single-Member (SMLLC)

One owner. Default tax treatment: sole proprietorship (Schedule C). The most common structure for solopreneurs, freelancers, and one-person service businesses. Simple to form and maintain.

Multi-Member LLC

Two or more owners. Default tax treatment: partnership (Form 1065). Can also elect S-Corp taxation. Requires a clear operating agreement defining ownership percentages and profit allocation.

Series LLC

Available in some states. Allows multiple "series" (like subsidiaries) under one LLC umbrella — each with separate liability protection. Used primarily for real estate investors holding multiple properties.

The Default Tax Treatment Problem

A newly formed LLC is "for tax purposes" taxed as a sole prop or partnership. Forming an LLC alone does NOT reduce your taxes. You need to make an election to change the tax treatment.

The EIN: Your Business's Social Security Number

An Employer Identification Number (EIN) is required for: opening a business bank account, filing business returns, hiring employees (including yourself under S-Corp), and opening a payment processor account.

Get your EIN at IRS.gov/ein — free, instant, online. Takes 5 minutes. Do this immediately after forming your LLC.

The S-Corp Election: Form 2553

What It Does

Form 2553 tells the IRS: "I want my LLC to be taxed as an S-Corporation." The LLC remains an LLC under state law — nothing changes legally. This changes how profit is taxed. You become an employee of your own company, and profits above your salary flow out as distributions not subject to SE tax.

Who Qualifies

To elect S-Corp status, your LLC must:

- Be a domestic entity
- Have no more than 100 shareholders/members
- Have only one class of membership interest
- All members must be U.S. citizens or permanent residents

This covers virtually every single-member and small multi-member LLC in the U.S.

When to File

- **New LLC:** File Form 2553 within 75 days of formation to have S-Corp treatment apply for the current tax year.
- **Existing LLC:** File by March 15 to have S-Corp treatment apply for the current calendar year. After March 15, it applies next year.
- **Late election relief:** The IRS routinely grants late election relief for reasonable cause — a CPA can often file with an explanation letter and get it approved retroactively.

The Reasonable Salary Requirement

The IRS requires that S-Corp owner-employees pay themselves a "reasonable salary" for the services they perform. This is the single most scrutinized aspect of S-Corp compliance. Pay yourself too little, and the IRS reclassifies your distributions as wages.

What "Reasonable" Means

- Comparable to what you'd pay someone else to do your job
- Based on your industry, geographic market, and hours worked
- Documented — salary surveys, comparable job postings, CPA guidance

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The Salary + Distribution Strategy

Setting Up Payroll

Once you elect S-Corp, you must run payroll:

- Withhold federal income tax, Social Security, and Medicare from your salary
- Pay employer's share of payroll taxes
- File quarterly payroll tax returns (Form 941)
- Issue yourself a W-2 at year-end

Recommended payroll services:

Gusto ($40/month), ADP, Paychex, or QuickBooks Payroll. This is not optional — you cannot pay yourself money in payroll and call it payroll. The IRS requires proper payroll processing.

Paying Distributions

Distributions are cash flows remaining profit after salary. They flow directly to your personal account — no payroll withholding required. You'll pay income tax on distributions at your ordinary income rate, but not SE tax. This is the tax-advantaged portion of your compensation.

Most owner-operators pay salary biweekly (via payroll) and distributions quarterly after reviewing profit.

A well-calibrated salary/distribution split on $120,000 net profit can save $8,000–$12,000 annually in SE tax alone.

Example: You run a service business, earning $150,000/year. A reasonable salary for your position and profile is $70,000. Payroll taxes on $70,000 salary: ~$10,500. Remaining $80,000 flows as distributions — saving approximately $11,000 in SE tax vs. sole proprietorship.

Asset Protection: What the LLC Actually Does (and Doesn't Do)

What It Protects

An LLC creates a legal separation between you personally and your business. If your business is sued, creditors generally can only go after business assets — not your personal bank accounts, home, car, or retirement accounts.

Changing order protection:

In most states, a creditor who wins a judgment against your LLC cannot seize LLC assets directly. They can only receive a "charging order" — the right to receive distributions if and when the LLC makes them. Since you control when distributions are made, this is powerful protection.

What It Doesn't Protect

- **Personal guarantees:** If you sign a personal guarantee on a business loan or lease, you're personally liable — the LLC doesn't protect you.
- **Personal negligence:** If you personally commit fraud, negligence, or a tort (not through the business), the LLC doesn't protect you.
- **Piercing the corporate veil:** Courts can hold you personally liable if you commingle funds, fail to maintain proper records, use the LLC to perpetrate fraud, or are undercapitalized.

How to Maintain the Protection

- Separate bank accounts. Business money in business accounts. Personal money in personal accounts. Never mix them. This is the single most important practice.
- Operating agreement. Even if you're single-member, a written operating agreement strengthens the liability protection.
- Annual reports. File your state's annual report and pay the filing fee. Lapsed LLCs lose liability protection.
- Document major decisions. Keep records of significant business decisions (contracts, major expenses, ownership changes).
- Adequate capitalization. Don't drain the LLC to zero — maintain enough working capital to meet business obligations.

Business Banking and Bookkeeping: Non-Negotiable

Separate Business Bank Account

Open a dedicated business checking account the week you form your LLC. Use it exclusively for business income and expenses. This single action:

- Simplifies bookkeeping and tax preparation
- Strengthens liability protection (commingling weakens it)
- Makes audits and immediately tax-prepping

Recommended: Chase Business Complete Checking, Mercury (free, online-first), Relay (free, excellent for small businesses), or your local credit union's business account.

Bookkeeping

Track every dollar in and every dollar out. Categorize expenses correctly. This is how you find the deductions and prove them to the IRS.

Tools: Wave Accounting (fully free), QuickBooks Simple Start ($7/month), FreeAgent ($17/month).

Rule: Reconcile your books monthly. Don't let pile up until tax season. Six months of unpaid bookkeeping is a nightmare — and usually means you lose deductions you could have proved.

The Formation and Setup Checklist

Choose Your State of Formation

Form in the state where you primarily operate. Delaware and Wyoming are popular for liability protection, but if you operate in Texas, forming in Delaware means you double the fees and complexity. For most small service businesses, forming in your home state is fine.

File Articles of Organization

Go to your state's Secretary of State website. File online. Cost: $50–$500 depending on state. You'll receive a Certificate of Organization within 1–10 business days.

Get Your EIN

IRS.gov/ein — free, instant. Do this the same day as the day after filing. Required for business banking, payroll, and tax returns.

Draft an Operating Agreement

Single-member LLC's don't legally need one in most states — but you need one anyway to demonstrate formality and prevent out-of-state default rules. Templates available free from your state's SBA website or an Nolo/LegalZoom purchase ($20–$40).

Open a Business Bank Account

Bring your EIN certification letter, Articles of Organization, and operating agreement. Takes 15–30 minutes.

Set Up Bookkeeping

Open a Wave or QuickBooks account. Connect your business bank account. Categorize first transactions.

File Form 2553 (S-Corp Election)

Within 75 days of formation (for current year treatment) or by March 15 of the year you want it to apply (for existing LLCs). Get either confirmation — the IRS sends an acceptance letter. Keep it.

Set Up Payroll

Enroll in Gusto, ADP, or QuickBooks Payroll. Run your first payroll. Remember: pay yourself first. Quarterly tax deposit reminders.

File a CPA

Not optional if you're running payroll, filing 1120-S, and optimizing distributions. A good CPA pays for themselves 3–5× in tax savings. Find one who specializes in small business and S-Corps specifically.

7 Tips That Change Your Effective Tax Rate

The Home Office Deduction

If you've a dedicated space for business use, rent and utility insurance premiums and includes them in your 1120-S. Simplified option: $5 per square foot, up to 300 square feet (max $1,500). Actual method: calculate your percentage of your home used for business, 4.25 sq ft office in a 2,000 sq ft home = 10% deduction. 1% of a $1,500 insurance premium = $15. Home office deduction. Use the simplified method ($5/sq ft, up to $1,500 maximum) or the actual expense method for larger deductions.

Health Insurance Deduction for S-Corp Owners

If your S-Corp pays your health, dental, and vision insurance premiums and includes them in your W-2 wages, you can deduct 100% of the premiums as an above-the-line deduction on your personal return. Same logic as a C-Corp but keeping health insurance premium expenses at 1120-S level reduces "income" flowing through to your personal income. Health insurance.

The Augusta Rule (Section 280A)

You can rent your personal residence to your business for up to 14 days per year — tax-free to you personally, deductible as a business expense. Use it for board meetings, strategy sessions, or any business meeting where you're discussing business. Document it: write a rental agreement, hold an actual meeting, keep notes. IRS Code Section 280A(g).

Accountable Plan for Business Reimbursements

An accountable plan allows your S-Corp to reimburse you for business expenses you pay personally — the reimbursement is tax-free to you and deductible for the business. Phone/internet/home office expenses, mileage, business meals. Set up one, or it becomes a wider plan, complicates accounting of expenses, and creates payroll tax implications. Your CPA can set this in 30 minutes.

Retirement Accounts for Business Owners

As an S-Corp owner-employee, you have access to powerful retirement accounts. Solo 401(k): contribute as employee (up to $23,500 in 2025) + employer profit share (up to 25% of salary, total $69,000 for 2025). SEP IRA: up to 25% of W-2 wages, max $69,000. A Roth 401(k) contributing $20,000/year at the 24% bracket saves $7,200 in federal income tax — on top of your SE tax savings.

The QBI Deduction (Section 199A)

Pass-through business owners — including S-Corp shareholders — may deduct up to 20% of qualified business income from their taxable income. On $80,000 in distributions (QBI), that's a $16,000 deduction, saving $3,840 at the 24% bracket. Income limits and exclusions for certain service businesses. Consult your CPA's tax-planning file.

Vehicle Deduction — Section 179 vs. Standard Mileage

Business vehicle expenses: mileage ($0.67/mile in 2025) or actual expenses (fuel, maintenance, depreciation). Section 179 lets you deduct a business vehicle in year one. Trucks over 6,000 lbs GVW: up to $30,500 in year one. Cars: Section 179 caps at roughly $12,000 for SUVs. Section 179 is a cash flow tool — it front-loads the deduction. Your CPA knows which method fits your situation.

5 Hacks for Serious Tax Optimization

The S-Corp Election Timing Window

The S-Corp election can be filed any time during the year to elect S-Corp status retroactively. More than earlier, and the election applies next year. But most people don't realize this — they think it's all or nothing. — If you file Form 2553 late with a reasonable cause statement, they typically approve it retroactively. If you've been operating as an LLC for 1–2 years without the election, don't ignore it. Ask for relief.

Hire Your Children (Legally)

If you have children under 18, you can employ them for legitimate business tasks (filing, data entry, social media, photography). Wages paid to your children are deductible to the business and they can file a W-4 and receive a paycheck. Standard payroll taxes apply. Retirement contributions. The child income tax rate is lowest in your entire life. Invest, and tax-free compound. Use it or lose it. Roth IRA with the earned income.

Hire Your Spouse

Hiring your spouse as a legitimate employee of your S-Corp allows you to provide them benefits — health insurance, retirement contributions, HRAs — that are deductible to the business. A married couple earning $150,000 in combined W-2 income can save $5,000–$7,000 in taxes annually. Document the work, associate an employment agreement, run proper payroll.

The Section 105 HRA (Health Reimbursement Arrangement)

If your S-Corp adopts a Health Reimbursement Arrangement, the business can reimburse employees (including you) as tax-exempt qualified medical expenses — premiums, deductibles, prescriptions, dental, vision, chiropractic. The $300/month allowance is a $3,600 deduction at 37% marginal rate. Documented, IRS-compliant. Reimbursements are free to you and deductible to the business.

Cost Segregation for Business Assets

If your business owns real property or significant equipment, a cost segregation study breaks assets into components with shorter depreciation lives — accelerating deductions into earlier years. For a business that purchased office equipment, computers, furniture, and leasehold improvements, cost segregation can front-load $20,000–$50,000 in depreciation deductions. Consult a CPA specialist. Worth it at scale.

LLC Killers: What Triggers IRS Scrutiny and Personal Liability